

THE CO-OPERATIVE BANK OF KENYA LIMITED

The Board of Directors is pleased to announce the Audited Results of the Group and the Bank for the Period ended 31 December 2015

I STATEMENT OF FINANCIAL POSITION

	GROUP		BANK	
	31-Dec-15 KSHS:'000 Audited	31-Dec-14 KSHS:'000 Audited	31-Dec-15 KSHS:'000 Audited	31-Dec-14 KSHS:'000 Audited
A ASSETS				
1 Cash (local and foreign)	9,057,746	9,455,086	8,880,989	8,970,240
2 Balances due from Central Bank of Kenya	20,397,945	14,880,245	18,292,656	13,954,693
3 Kenya Government and other securities held for dealing purposes	-	138,034	-	30,009
4 Financial Assets at fair value through profit and loss	206	559	149	501
5.a.a Investment Securities: Held to Maturity- Kenya Government Securities	36,154,555	24,643,526	35,999,971	24,460,192
a.b Investment Securities: Held to Maturity - Other Securities	-	-	-	-
b.a Investment Securities: Available for Sale - Kenya Government Securities	23,955,077	15,960,083	23,824,739	15,960,083
b.b Investment Securities: Available for Sale - Other Securities	4,816,792	5,072,361	4,816,792	5,072,361
6 Deposits and balances due from local banking institutions	9,878,262	7,847,333	9,770,382	7,845,769
7 Deposits and balances due from banking institutions abroad	4,098,975	4,963,526	4,098,891	4,969,092
8 Tax recoverable	18,380	-	-	-
9 Loans and advances to customers (net)	208,571,920	179,486,355	208,074,513	178,978,586
10 Balances due from banking institutions in the group	507,137	207,361	550,768	207,361
11 Investments in associates	2,267,230	1,907,722	755,118	755,118
12 Investments in subsidiary companies	-	-	2,207,370	1,806,449
13 Investment in joint ventures	-	-	-	-
14 Investment in properties	-	-	-	-
15 Property, plant and equipment	8,020,778	10,182,323	7,812,740	9,357,457
16 Prepaid lease rentals	36,964	37,570	36,964	37,570
17 Intangible assets	1,605,068	1,609,277	1,461,590	1,259,585
18 Deferred tax asset	886,055	618,629	876,614	609,156
19 Retirement benefit asset	-	-	-	-
20 Other assets	12,245,099	8,386,078	12,089,562	8,414,876
21 TOTAL ASSETS	342,518,187	285,396,067	339,549,808	282,689,098
B LIABILITIES				
22 Balances due to Central Bank of Kenya	-	-	-	-
23 Customer deposits	265,398,587	217,698,323	263,709,415	216,174,313
24 Deposits and balances due to local banking institutions	2,914,082	3,159,444	2,905,405	3,159,444
25 Deposits and balances due to banking institutions abroad	507,137	-	-	82,282
26 Other money market deposits	-	-	-	-
27 Borrowed funds	19,271,212	18,269,487	19,271,212	18,269,487
28 Balances due to banking institutions in the group	-	-	-	-
29 Tax payable	189,707	149,821	157,596	129,171
30 Dividends payable	-	-	-	-
31 Deferred tax liability	-	-	-	-
32 Retirement benefit liability	-	-	-	-
33 Other liabilities	4,416,895	2,706,082	4,195,406	2,523,282
34 TOTAL LIABILITIES	292,697,620	241,983,157	290,239,033	240,337,979
C SHAREHOLDERS' FUNDS				
35 Paid up/Assigned capital	4,889,317	4,889,317	4,889,317	4,889,317
36 Share premium/(discount)	2,889,789	2,889,789	2,889,789	2,889,789
37 Revaluation reserve	(488,797)	439,517	397,057	403,407
38 Retained earnings/Accumulated losses	39,574,445	32,206,653	37,830,867	31,264,373
39 Statutory Loan Loss Reserve	784,381	718,421	717,844	717,844
40 Other Reserves	(1,870,841)	(793,356)	(1,842,869)	(794,062)
41 Proposed dividends	3,911,453	2,444,658	3,911,453	2,444,658
42 Capital grants	517,317	535,792	517,317	535,792
43 TOTAL SHAREHOLDERS' FUNDS	50,207,064	43,330,791	49,310,775	42,351,119
43.1 Non-Controlling Interest	(386,497)	82,118	-	-
44 TOTAL LIABILITIES & SHAREHOLDERS' FUNDS	342,518,187	285,396,067	339,549,808	282,689,098

II STATEMENT OF COMPREHENSIVE INCOME

	GROUP		BANK	
	31-Dec-15 KSHS:'000 Audited	31-Dec-14 KSHS:'000 Audited	31-Dec-15 KSHS:'000 Audited	31-Dec-14 KSHS:'000 Audited
1.0 INTEREST INCOME				
1.1 Loans and advances	30,039,822	24,713,355	29,845,776	24,669,606
1.2 Government securities	6,086,562	4,331,262	6,069,362	4,309,901
1.3 Deposits and placements with banking institutions	664,820	307,394	604,321	287,900
1.4 Other Interest Income	-	-	-	-
1.5 Total Interest Income	36,791,204	29,352,011	36,519,458	29,267,406
2.0 INTEREST EXPENSE				
2.1 Customer deposits	12,183,736	5,957,719	12,161,604	5,957,045
2.2 Deposits and placements from banking institutions	232,602	215,306	232,602	206,410
2.3 Other Interest Expenses	1,170,573	1,903,128	1,170,573	1,903,128
2.4 Total Interest Expenses	13,586,911	8,076,154	13,564,779	8,066,583
3.0 NET INTEREST INCOME/(LOSS)	23,204,293	21,275,858	22,954,679	21,200,823
4.0 NON-INTEREST INCOME				
4.1 Fees and commissions on loans and advances	2,339,680	2,148,888	2,339,680	2,148,888
4.2 Other Fees and commissions	7,162,155	6,565,180	6,308,056	5,933,931
4.3 Foreign exchange trading income/(loss)	3,192,469	1,417,692	1,880,617	1,201,739
4.4 Dividend income	69,407	258,101	69,407	258,101
4.5 Other income	421,775	420,044	475,679	639,416
4.6 Total Non-interest income	13,185,486	10,809,905	11,073,438	10,182,074
5.0 TOTAL OPERATING INCOME	36,389,778	32,085,762	34,028,117	31,382,898
6.0 OTHER OPERATING EXPENSES				
6.1 Loan loss provision	2,019,295	1,175,598	2,007,357	1,133,519
6.2 Staff costs	8,925,220	8,438,158	8,408,222	8,060,096
6.3 Directors' emoluments	148,257	161,129	107,181	116,235
6.4 Rentals charges	1,395,950	1,304,859	1,236,484	1,102,060
6.5 Depreciation charge on property and equipment	1,923,609	1,953,657	1,795,458	1,840,599
6.6 Armortisation charges	434,016	342,444	378,169	304,166
6.7 Other operating expenses	6,543,423	6,722,174	6,021,880	6,311,493
6.8 Total other operating expenses	21,389,770	20,098,019	19,954,752	18,868,168
7 Profit/(Loss) before tax and exceptional items	15,000,008	11,987,743	14,073,365	12,514,729
8 Exceptional items-Early Retirement Costs	(1,908)	(1,342,509)	(1,908)	(1,342,509)
8 Exceptional items-Share of profit of associate	384,991	270,976	-	-
9 Profit/(Loss) before tax	15,383,092	10,916,210	14,071,457	11,172,221
10 Current tax	3,944,959	3,453,288	3,867,317	3,373,937
11 Deferred tax	(267,426)	(552,075)	(267,457)	(553,043)
12 Profit/(loss) after tax and exceptional items	11,705,558	8,014,997	10,471,597	8,351,326
13.0 OTHER COMPREHENSIVE INCOME:				
13.1 Gains/(Losses) from translating the financial statements of foreign operations	(1,890,682)	30,384	-	-
13.2 Fair value changes in available-for-sale financial assets	(1,077,485)	449,865	(1,048,807)	461,646
13.3 Revaluation Surplus on property, Plant and Equipment	-	-	-	-
13.4 Share of other comprehensive income of associates	13,773	-	-	-
13.5 Income tax relating to components of other comprehensive income	-	-	-	-
14 OTHER COMPREHENSIVE INCOME NET OF TAX	(2,954,394)	480,249	(1,048,807)	461,646
15 TOTAL COMPREHENSIVE INCOME	8,751,164	8,495,246	9,422,790	8,812,972
Basic Earnings per share	2.31	1.69	2.14	1.71
Diluted Earnings per share	2.31	1.69	2.14	1.71
Dividend per share	0.80	0.50	0.80	0.50

III OTHER DISCLOSURES

	GROUP		BANK	
	31-Dec-15 KSHS:'000 Audited	31-Dec-14 KSHS:'000 Audited	31-Dec-15 KSHS:'000 Audited	31-Dec-14 KSHS:'000 Audited
1. NON PERFORMING LOANS AND ADVANCES				
a) Gross non-performing loans and advances	8,189,196	7,982,045	8,189,196	7,982,045
Less	-	-	-	-
b) Interest in suspense	1,058,631	312,261	1,058,631	312,261
c) Total Non-performing loans and advances (a-b)	7,130,565	7,669,784	7,130,565	7,669,784
Less	-	-	-	-
d) Loan loss provisions	3,577,424	2,079,636	3,577,424	2,079,636
e) Net Non performing loans (c-d)	3,553,141	5,590,148	3,553,141	5,590,148
f) Discounted Value of Securities	3,553,141	5,590,148	3,553,141	5,590,148
g) Net NPLs Exposure (e-f)	-	-	-	-
2. Insider loans and advances				
a) Directors, shareholders and associates	302,146	232,807	302,146	232,807
b) Employees	6,596,839	6,602,831	6,596,839	6,602,831
c) Total insider loans, advances and other facilities	6,898,985	6,835,638	6,898,985	6,835,638
3. Off-Balance Sheet Items				
a) Letters of credit, guarantees, acceptances	12,509,752	14,110,553	12,509,752	14,110,553
b) Forwards, swaps and options	14,655,575	5,815,401	14,655,575	5,815,401
c) Other contingent liabilities	-	-	-	-
d) Total contingent liabilities	27,165,327	19,925,954	27,165,327	19,925,954
4. Capital strength				
a) Core capital	46,984,813	39,902,922	43,283,305	37,461,620
b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000
c) Excess/(deficiency)	45,984,813	38,902,922	42,283,305	36,461,620
d) Supplementary capital	19,933,394	19,097,787	20,088,320	18,072,840
e) Total capital	66,918,207	59,000,709	63,371,625	55,534,460
f) Total risk weighted assets	299,184,957	258,125,387	298,137,367	256,510,900
g) Core capital/total deposit liabilities	17.50%	18.10%	16.2%	17.1%
h) Minimum Statutory Ratio	10.50%	10.5%	10.5%	10.5%
i) Excess/(deficiency)	7.00%	7.6%	5.7%	6.6%
j) Core capital/total risk weighted assets	15.70%	15.5%	14.5%	14.6%
k) Minimum Statutory Ratio	10.50%	10.5%	10.5%	10.5%
l) Excess/(deficiency)(j-k)	5.20%	5.0%	4.0%	4.1%
m) Total capital/total risk weighted assets	22.40%	22.9%	21.3%	21.6%
n) Minimum Statutory Ratio	14.50%	14.5%	14.5%	14.5%
o) Excess/(deficiency)(m-n)	7.90%	8.4%	6.8%	7.1%
5. Liquidity				
a) Liquidity Ratio	37.1%	35.3%	36.1%	33.8%
b) Minimum Statutory Ratio	20.0%	20.0%	20.0%	20.0%
c) Excess/(deficiency)(a-b)	17.1%	15.3%	16.1%	13.8%

PROPOSED DIVIDEND:

The Directors have resolved to recommend to the Members at the forthcoming Annual General Meeting, the payment of a first and final dividend for the year 2015 of 80 cents per share (2014-50 cents) to be paid on or about 29 June 2016 to the shareholders registered on the Bank's Register at the close of business on 30 May 2016. The register will remain closed for one day on 31 May 2016 for the preparation of dividend warrants.

ANNUAL GENERAL MEETING:

Notice is hereby given that the eighth (8th) Annual General Meeting of The Co-operative Bank of Kenya Limited will be held on 27 May 2016 at a venue to be advised.

MESSAGE FROM THE DIRECTORS:

The above Consolidated Statement of Comprehensive Income and Statement of Financial Position are extracts from the Bank's Financial Statements which have been audited by Ernst & Young and have received an unqualified opinion. A full set of these Financial Statements will be available at our registered office at Co-operative House and online at www.co-opbank.co.ke for inspection after approval by members at the Annual General Meeting.



The financial statements were approved by the Directors on 16th March 2016 and signed on its behalf by:

Signed: Mr. Stanley Muchiri, EBS
Group Chairman

Signed: Dr. Gideon Muriuki, MBS
Group Managing Director & CEO

CO-OPERATIVE BANK
We are you

The Co-operative Bank of Kenya is regulated by Central Bank of Kenya